RETURN-TO-ORIGIN (RTO) PERFORMANCE ANALYSIS

Beauty & Personal Care D2C Brand

A comprehensive analysis of Return-to-Origin (RTO) orders, customer payment behavior, acquisition channels, product performance, and revenue leakage to identify the key drivers of operational losses and profitability challenges.

- RTO Analysis
- Payment & Platform Insights
- Channel Performance
- Discount Impact
- State-wise Analysis
- Trends & Insights

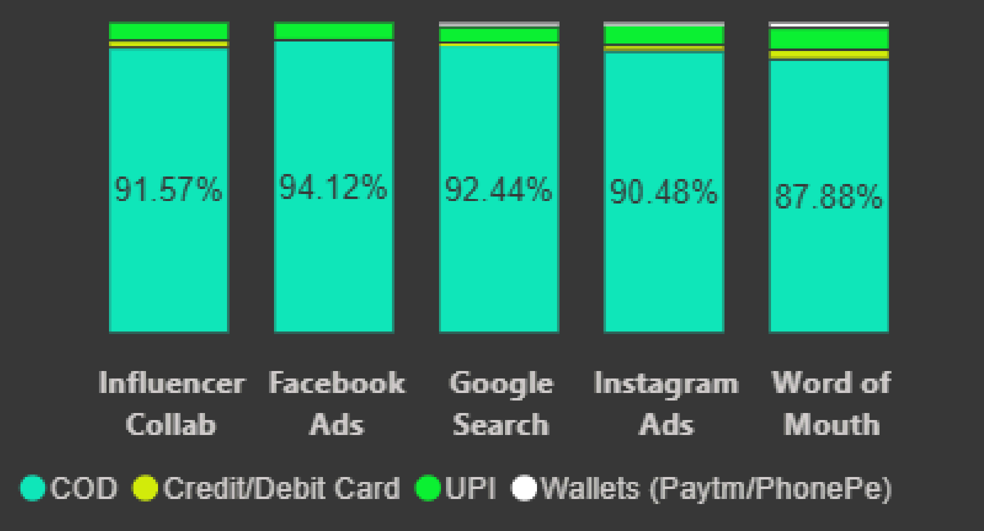
GLOW MANTRA BEAUTY

Sales RTO Dashboard

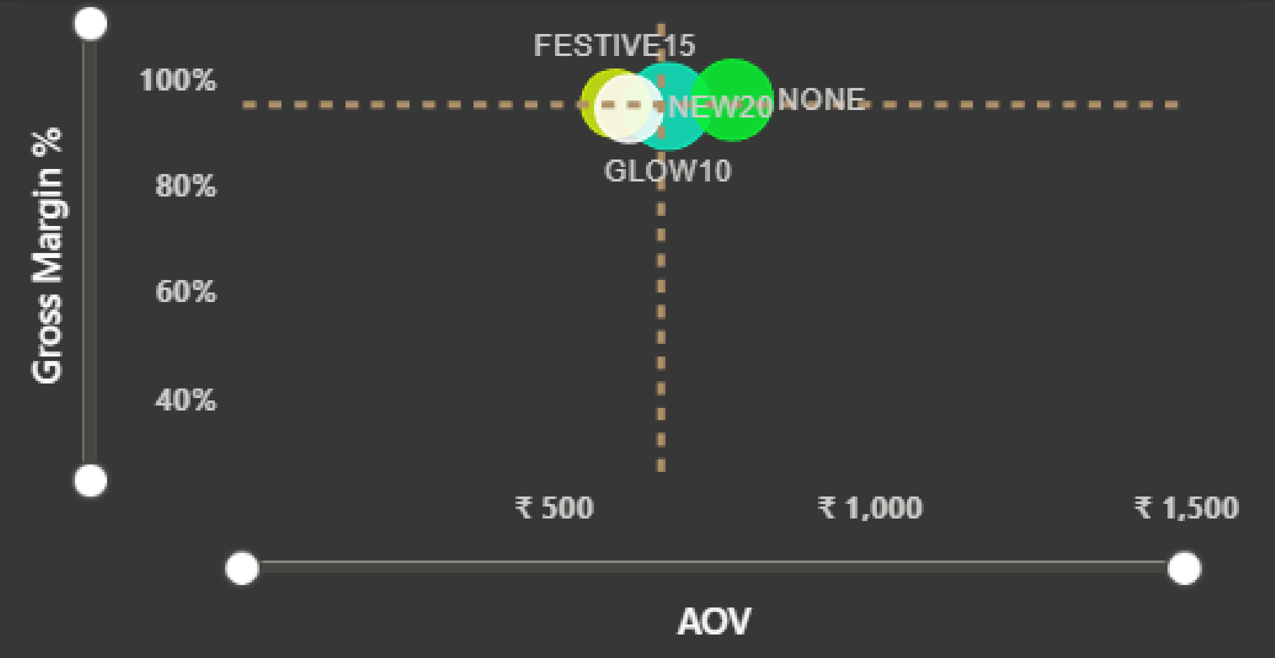
RTO ORDER	LOST REVENUE	LOST PROFIT	AOV	RTO RATE
625	₹ 426K	₹ 310K	₹ 682	14%
13.89%	17.06%	17.08%		

- Select all
- 2024
- 2025
- 2026

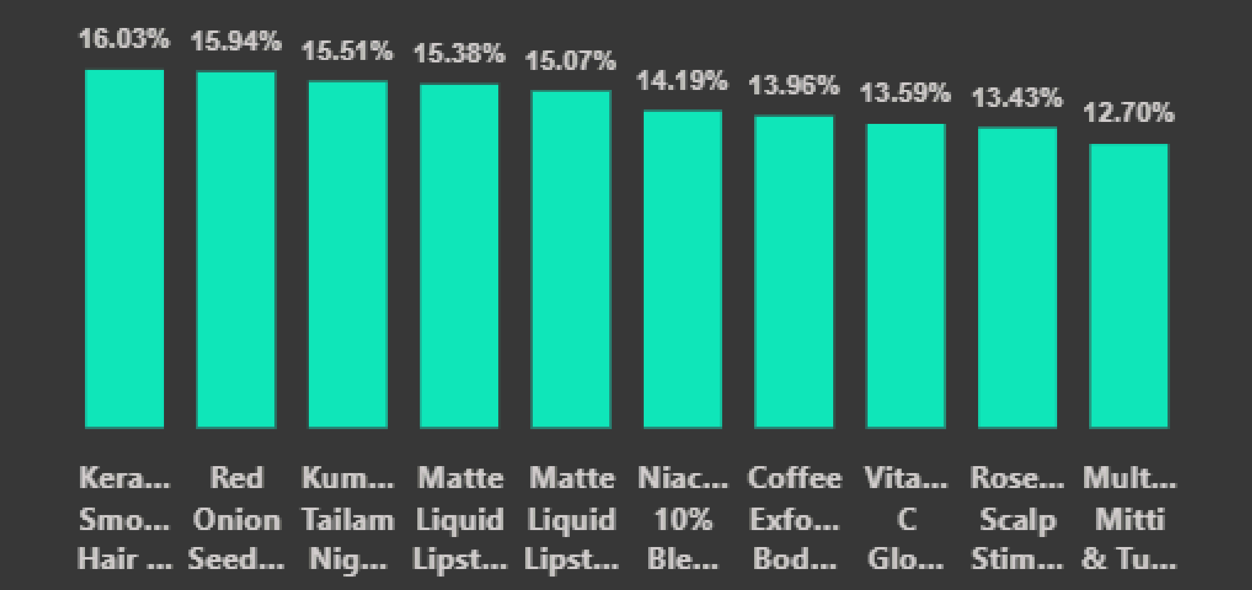
RTO ORDER BY ACQUISITION CHANNEL AND PAY MODE



DISCOUNT CANNIBALIZATION



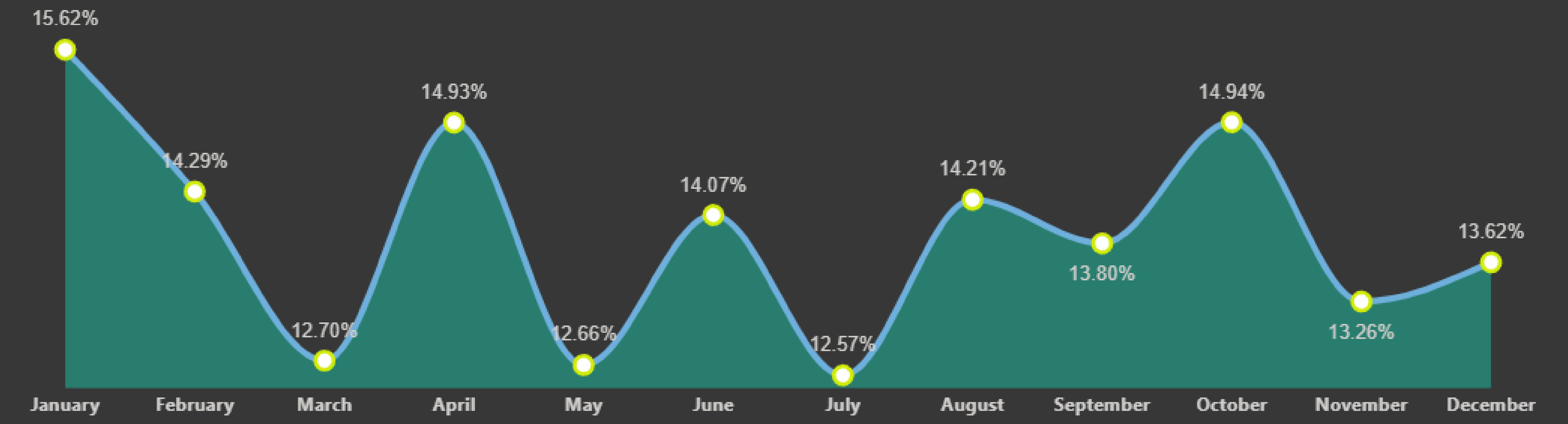
TOP RTO ORDER BY PRODUCTS



STATE WISE DELIVERED, CANCELLED, RTO RATE

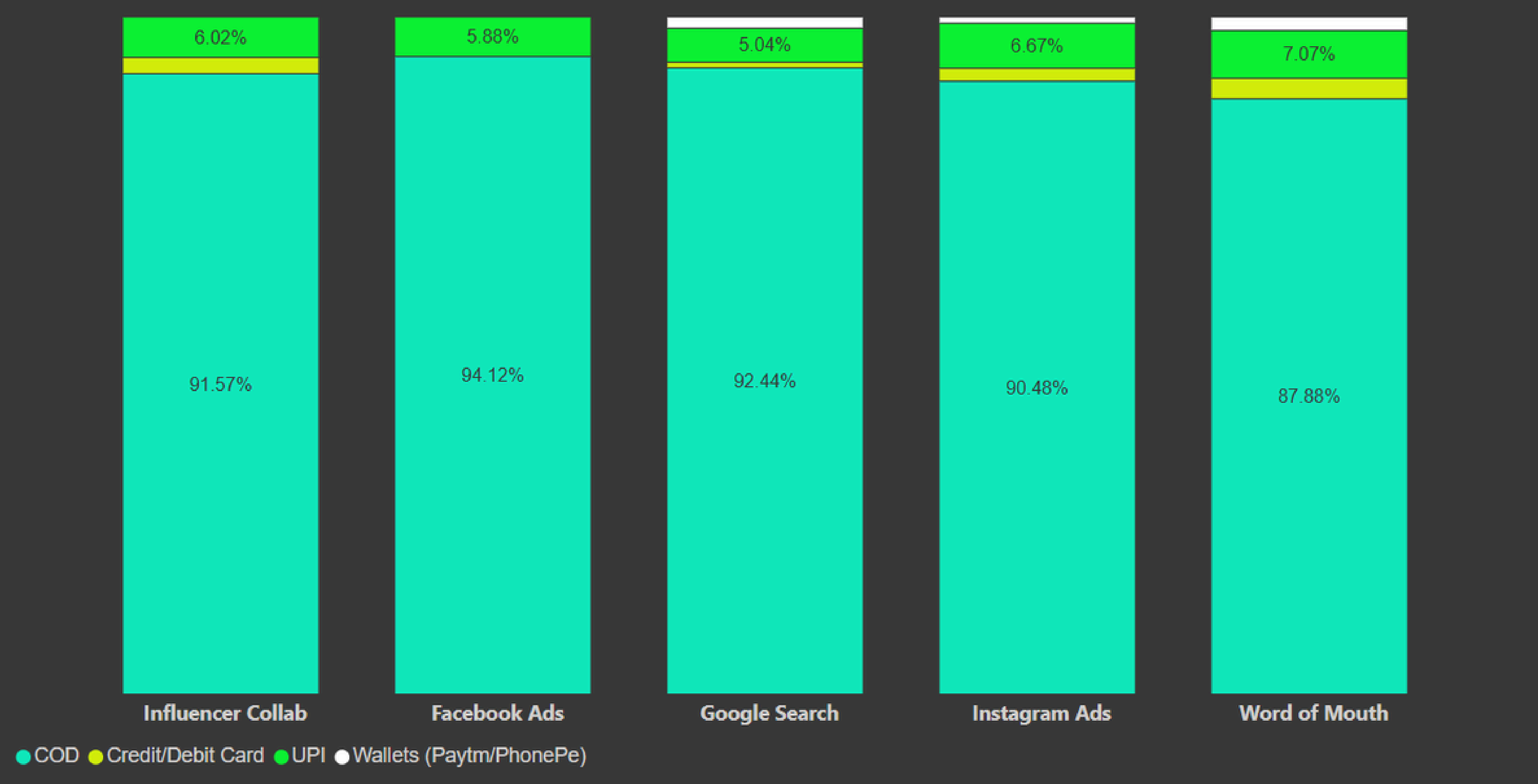
State	Delivered Rate	Cancelled Rate	RTO Rate
Karnataka	79.18%	5.87%	14.95%
Tamil Nadu	77.46%	7.85%	14.69%
Haryana	79.25%	6.23%	14.53%
Gujarat	78.54%	7.08%	14.38%
Uttar Pradesh	78.99%	7.00%	14.01%
West Bengal	77.80%	8.43%	13.78%
Delhi	79.71%	7.00%	13.29%
Telangana	81.68%	5.61%	12.71%
Total	**79.33%**	**6.78%**	**13.89%**

RTO ORDER TREND



RTO ORDERS BY ACQUISITION CHANNEL AND PAY MODE

This chart shows the distribution of RTO orders across acquisition channels and payment methods.



Key Insight

▸ **Cash on Delivery** (COD) is the major contributor to RTO orders across all channels, accounting for approximately **88%–94%** of total RTOs

▸ Facebook Ads has the highest COD-related RTO contribution (**94.12%**), followed by Google Search (**92.44%**).

▸ Prepaid payment methods such as **UPI, Credit/Debit Cards, and Wallets** contribute only a small share of RTO orders.

Business Conclusion

▸ The analysis indicates that encouraging prepaid payments and reducing dependency on COD can significantly lower RTO losses and improve profitability.

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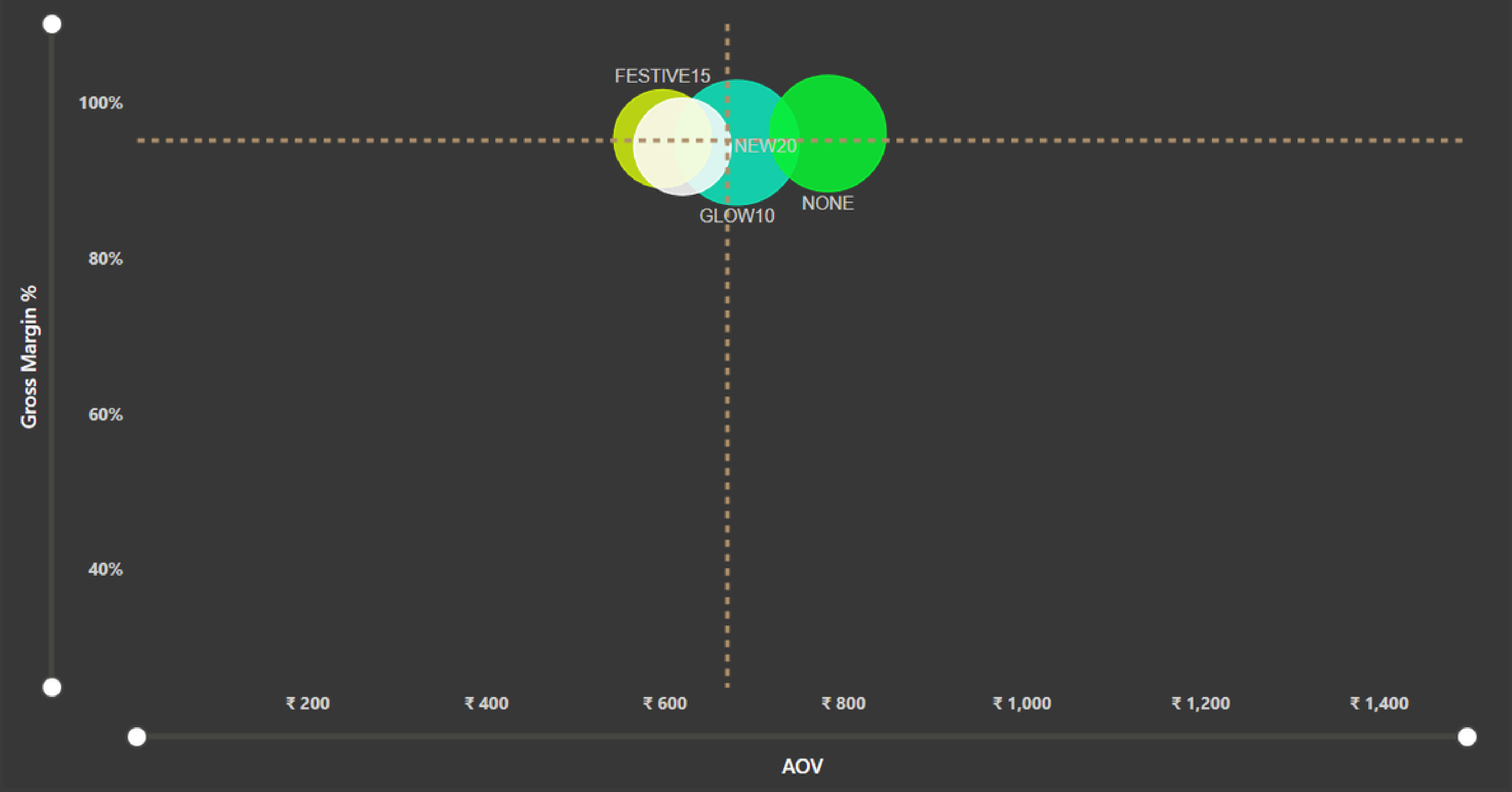


Key Insight

▸ **NONE** (No Discount) generated the highest **AOV** (₹783) and **Gross Margin** (96.09%), making it the most profitable segment

▸ **GLOW10** drove the highest number of orders (206) while maintaining a strong AOV (₹681).

▸ **FESTIVE15** and **NEW20** lowered AOV without significantly increasing order volume.

▸ Customers are often using discounts on high-margin products, which reduces overall profitability.

▸ Some discount campaigns may be reducing profits rather than creating additional sales.

Business Conclusion

▸ **Orders without discounts are the most profitable**, while **GLOW10 is the most effective coupon for driving sales volume**. The business should optimize discount usage and avoid excessive promotions to protect profit margins and maximize revenue.

TOP PRODUCTS BY RTO

This chart highlights the products with the highest Return-to-Origin (RTO) rates, ranging from **12.7% to 16.0%**.

Key Insight

▸ **Keratin Smoothing Hair Mask** has the highest RTO rate (**16.03%**), followed closely by **Red Onion Seed Hair Oil 200ml (15.94%)** and **Kumkumadi Tailam Night Drops (15.51%)**.

▸ The top 10 products all have RTO rates above the overall business average (**14% RTO Rate).**

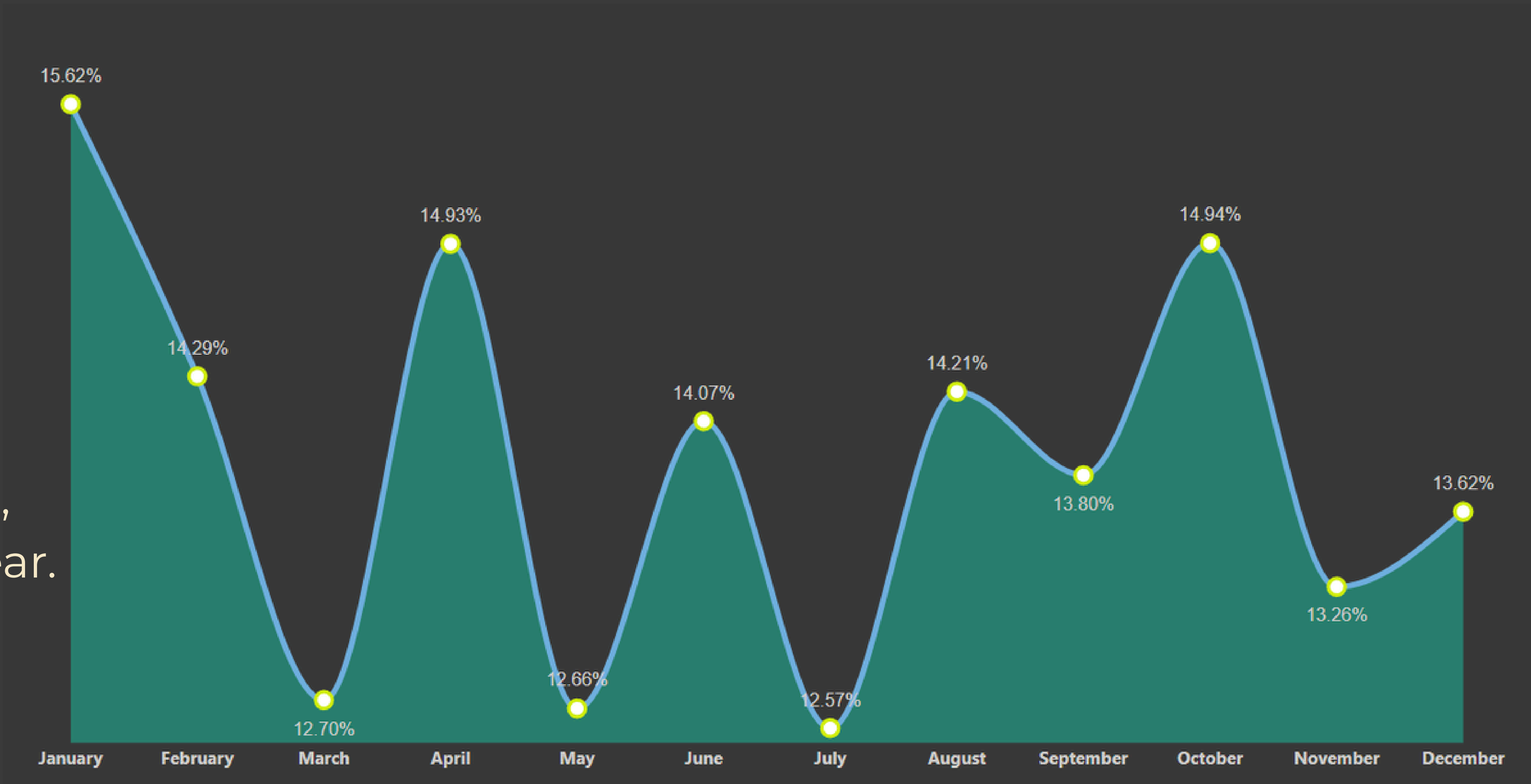
▸ Both **Hair Care** and **Skincare** products appear frequently in the list, indicating that these categories require closer monitoring.

Business Conclusion

▸ A small group of products is responsible for a large share of RTO losses. **These products should be prioritized for deeper investigation to identify potential issues** related to customer expectations, pricing, delivery experience, or product communication. Reducing RTO rates for these products can have a direct positive impact on revenue, profitability, and operational efficiency.

RTO ORDER TREND ANALYSIS

This visual shows the monthly trend of the RTO Rate (%) throughout the year.



Key Insights

▸ The **overall RTO** rate fluctuates between **12.57% and 15.62%**, indicating a relatively consistent level of returns across the year.

▸ **January (15.62%)** recorded the **highest RTO** rate, followed by **October (14.94%)** and **April (14.93%).**

▸ The **lowest RTO** rates were observed in **July (12.57%)**, **May (12.66%), and March (12.70%).**

▸ RTO rates tend to increase during certain months, suggesting possible impacts from seasonal demand, promotional campaigns, or changes in customer purchasing behavior, Despite monthly fluctuations, the **RTO rate remains above 12%** throughout the year

Business Conclusion

▸ The RTO trend remains consistently high across all months, with noticeable spikes in **January, April, and October**. These peak periods should be investigated further to **identify potential causes such as increased COD orders, promotional campaigns, or delivery-related issues.** Reducing RTO during these high-risk months can significantly improve revenue retention and profitability.

STATE-WISE DELIVERY, CANCELLATION & RTO PERFORMANCE

This chart shows the delivered, cancelled and RTO orders percentage across all the state

State	Delivered Rate	Cancelled Rate	RTO Rate
Karnataka	79.18%	5.87%	14.95%
Tamil Nadu	77.46%	7.85%	14.69%
Haryana	79.25%	6.23%	14.53%
Gujarat	78.54%	7.08%	14.38%
Uttar Pradesh	78.99%	7.00%	14.01%
West Bengal	77.80%	8.43%	13.78%
Delhi	79.71%	7.00%	13.29%
Telangana	81.68%	5.61%	12.71%
Maharashtra	81.37%	5.99%	12.64%
Overall Average	79.33%	6.78%	13.89%

Key Insights

▸ The overall business achieved a **79.33% delivery rate**, while **13.89%** of orders were returned (RTO) and **6.78%** were cancelled.

▸ **Karnataka**, **Tamil Nadu** and **Haryana** recorded the highest RTO rates, making them the largest contributors to RTO losses.

▸ **Telangana (12.71%**) and **Maharashtra (12.64%)** showed the lowest RTO rates and the highest delivery success rates, indicating better order fulfillment performance.

▸ **West Bengal (8.43%)** has the highest cancellation rate among all states, suggesting potential issues related to customer intent, delivery expectations, or order verification.

Business Conclusion

▸ The analysis reveals significant variation in delivery and RTO performance across states. While **Telangana and Maharashtra** demonstrate strong fulfillment efficiency, **Karnataka, Tamil Nadu, and Haryana** experience relatively higher return rates**.** **Focusing on** high-RTO states through better **COD verification, customer communication, and logistics optimization** can help reduce losses and improve overall profitability.

OVERALL BUSINESS CONCLUSION

The analysis shows that Glow Mantra is losing a significant amount of revenue and profit due to a high RTO rate of 14%. Most RTO orders come from Cash on Delivery (COD) payments, making COD the biggest contributor to business losses.

Several high-selling and high-margin products also have high RTO rates, increasing the financial impact. In addition, some discount campaigns are reducing profit margins without generating substantial business growth.

States such as Karnataka, Tamil Nadu, and Haryana have higher-than-average RTO rates and require special attention.

RECOMMENDED ACTION PLAN

- Encourage customers to use prepaid payment methods instead of COD.
- Implement OTP or WhatsApp verification for COD orders.
- Monitor and reduce RTO rates for high-risk products.
- Improve targeting for Facebook and Instagram ad campaigns to attract higher-quality customers.
- Review discount campaigns and avoid unnecessary discounts on high-demand products.
- Focus on high-RTO states and improve delivery and verification processes.

FINAL RECOMMENDATION

Reducing COD-related RTO orders should be the top priority. Lowering the RTO rate will help recover lost revenue, improve profit margins, and increase overall business efficiency.